

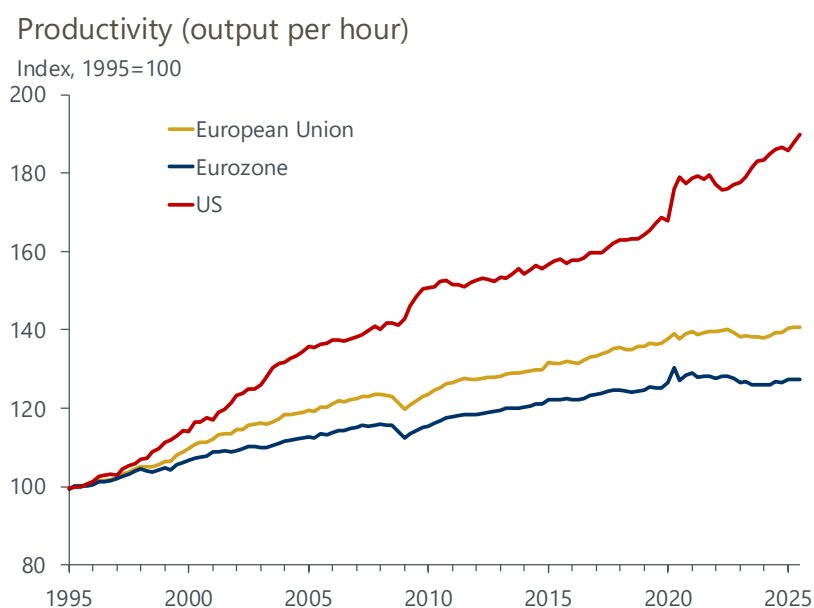
Research Briefing | Eurozone

Yet another reform push – could this time be different?

- European policymakers are making a renewed push for reforms aimed at fixing some of the chronic problems plaguing the continent, particularly deteriorating competitiveness and low productivity growth.
- Although we don't expect an immediate breakthrough, the renewed political will behind the current debate and the potential use of the enhanced cooperation framework which bypasses unanimity means we could see some progress over the coming year.
- A wide-ranging set of initiatives are being discussed, including: the establishment of a so-called '28th regime' for companies to operate under a new European legal framework; revising the EU's emission trading scheme; and the creation of a European safe asset. But with no details yet on timing or implementation of these measures, changes in our baseline forecasts aren't warranted.
- While Eurobonds get most of the attention, we think they would be more useful as a tool to finance other initiatives rather than a goal in itself. France, Spain, and the Bundesbank have all recently called for the issuance of common debt. But the likeliness of all EU members agreeing to it in the absence of an immediate emergency is low, and proceeding under an enhanced cooperation framework would meet substantial hurdles.
- The broad scope of the proposed solutions partly reflects diverging views on what the key issues are and how to tackle them. A stacked election calendar in 2027 means progress could stall next year if policymakers fail to take advantage of the current window of opportunity.

The question of structural reforms is as old as the Eurozone itself, but it periodically gains renewed impulse. This is one of these times. European leaders have been discussing a series of potential reforms to tackle Europe's deteriorating competitiveness and low productivity growth (**Chart 1**), at a time when the continent is under increasing economic and security threats from abroad, while fiscally constrained at home.

Chart 1: Europe's productivity has been lagging for decades



Sources: Oxford Economics, Haver Analytics

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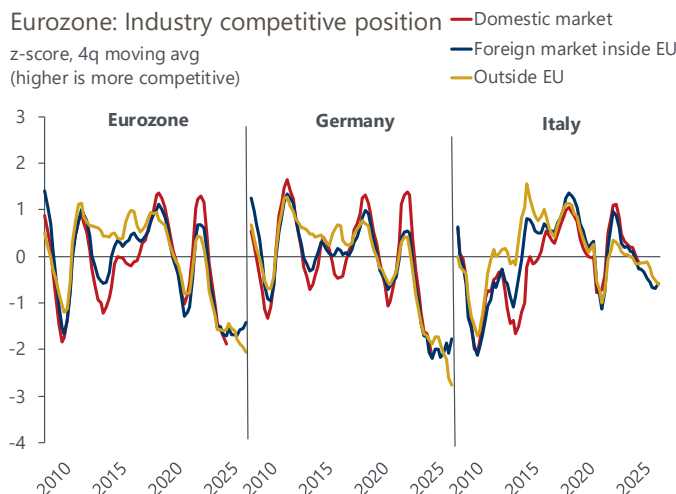
Not a new debate, but there is renewed impetus

The debate is not new, but there is new impetus given the adverse external environment and the EU's relative economic decline. It partly builds on the conclusions from the [Draghi and Letta reports](#) from 2024, but also covers a much wider range of issues such as excessive regulation, high energy prices or strategic autonomy.

The spread of topics partly reflects a lack of agreement in diagnosing the key issues affecting the European economy, but also how different problems affect national interests differently. It also means that a wide range of solutions are currently being discussed:

- Establishing a '28th regime' – a legal framework that would work alongside the 27 national systems that would simplify rules for startups and businesses. This would harmonize company law, insolvency, labour, and tax rules to reduce fragmentation and help firms scale across borders.
- A re-evaluation of the EU Emissions Trading Scheme (ETS). This includes overhauling free CO2 permits for industries, potentially scrapping them, making them conditional on decarbonization efforts, or tying them to investments in green tech. In parallel, an increasing number of businesses are openly calling for a watering down of the ETS given its role in driving carbon prices higher at a time when European industry is still reeling from the impact of high energy prices ([Chart 2](#)).
- Establishing a savings and investment union and promoting deregulation. The 'One Europe, One Market' roadmap focuses on unlocking private capital through a unified capital markets union, reducing bureaucracy, and simplifying regulations. Discussions around labour mobility, energy price stabilization, and sector-specific consolidation are also taking place.
- A 'Buy European' policy, aimed at protecting strategic sectors, such as defence, 'clean' tech, space, payment systems, and AI in the face of international competition.

Chart 2: European industry is increasingly less competitive



Source: Oxford Economics/Haver Analytics

Most, if not all these discussions have been in place for years, but we think this time may be different for two reasons. First, the renewed political push is coming from both from the Commission and from key countries. Second, the enhanced cooperation framework increases the likelihood that Europe can move forward at different speeds.

Enhanced cooperation is a procedure that allows a group of at least nine member states to move ahead with deeper integration in a specific policy area when unanimity among all EU countries cannot be reached. It is designed as a last-resort flexibility tool: integration can continue without being blocked, while remaining inside the EU's legal framework rather than creating a separate treaty.

A two-speed Europe has long been touted as an option to move forward with European integration as unanimity becomes increasingly harder to achieve. But European leaders have reluctant to push forward until now. European Commission president Ursula Von der Leyen is now openly calling for the use of the

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enhanced cooperation procedure to move forward with some of the measures, such as the deepening of the capital markets union.

This is happening simultaneously as a new group of countries, the E6 (Germany, France, Italy, Spain, Netherlands and Poland), are working together to increase cooperation and push the reform agenda. The most significant aspect of this is that the E6 group comprises the largest economies in the EU, which makes the initiative hugely relevant from a political standpoint.

We think this makes it more likely that we will see some progress over the coming year, possibly around areas that are less contentious, such as the establishment of the 28th regime or where there is broad political agreement such as moving forward with the savings and investment union. EC President Ursula Von der Leyen has stated that she intends to present a roadmap with specific targets to be met by the end of 2027.

There are still a lot of diverging views on if and how to enact a 'buy European' policy – a proposal strongly backed by France, but that has met resistance from Germany and other countries. Meanwhile, changes to the ETS will likely prove more contentious, so we expect less progress on those fronts.

Eurobonds could be useful but are not a fix-all tool

Although it frequently gathers most of the headlines, we think Eurobonds remain an unlikely option. French president Emmanuel Macron, Spanish finance minister Carlos Cuerdo, and the head of the Bundesbank Joachim Nagel have all recently asked for the for the creation of a true European safe asset by issuing Eurobonds at scale on a permanent basis. Although, this is nothing new, the timing of the announcements suggests a level of coordination among those countries in a push to give the initiative a renewed political impulse. But the bar to issuing common debt remains high, with several countries firmly opposing the measure.

The economic case for the issuance of Eurobonds is built on the idea that a European safe asset would allow a larger, more liquid bond market, lower borrowing costs, strengthen the role of the euro as a reserve currency, and act as a stabilising tool in the face of potential adverse shocks. Even after the large issuance of common debt in recent years following the approval of the Next Generation EU programme and other initiatives, common EU debt is just slightly over €750bn, representing only 5% of total EU national debt (**Chart 3**). The small relative size – for comparison, the outstanding market for US treasuries is over \$30 trillion – and its temporary nature means that this is clearly insufficient to serve the purpose of a safe asset.

We think there is a case for issuing Eurobonds, but more as an effective tool to finance common initiatives rather than a goal itself. Some European countries could benefit from having a European safe asset, but the additional gains in terms of lower interest rates are questionable, especially at a time when sovereign bond spreads have compressed to levels not seen since the sovereign debt crisis of the early 2010s.

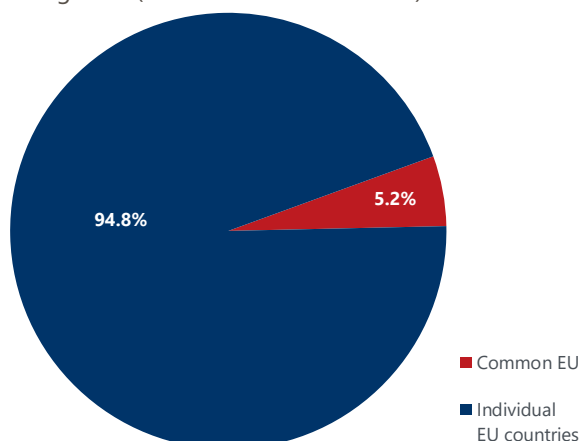
In addition, the issue of moral hazard has not yet been fully solved by any of the proposals that have been put forward, while strengthening the role of the euro as a reserve currency would also come with costs, such as a stronger exchange rate, which would dampen some of the claimed benefits.

A group of countries could push forward with the issuance of EU bonds using the enhanced cooperation procedure, as demonstrated by the recent decision to provide Ukraine with a €90bn loan financed through common EU borrowing. However, that decision had ample support from most European capitals, with only Hungary, the Czech Republic, and Slovakia opposing it. We think it's very unlikely that similar support would be found for the issuance of Eurobonds in the absence of an imminent crisis.

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Chart 3: EU joint debt is only a small fraction of the European bond market

Outstanding debt (estimated at end of 2025)



Sources: Oxford Economics, Haver Analytics, EC

Election calendar will become a hurdle in 2027

These reforms will face significant political hurdles amid a packed slate of national elections across Europe in 2027. Major contests include France's presidential election, where far-right leader Marine Le Pen's Rassemblement National could capitalize on anti-EU sentiments to challenge deeper integration; Italy's general election, potentially reinforcing Prime Minister Giorgia Meloni's nationalist stance; and Spain's parliamentary vote, where the centre-right Popular Party is expected to win but will require the support of far-right Vox.

These elections could amplify domestic priorities like economic hardship, migration, and energy costs over EU-wide initiatives, leading governments to delay or dilute reforms to avoid electoral backlash.

Compounding these challenges, election outcomes may shift power toward parties wary of fiscal mutualization or environmental overhauls. For instance, a Le Pen victory in France could stall progress on financial union or climate targets, while fragmented coalitions in Italy or Spain might prioritize national vetoes in enhanced cooperation mechanisms.

Populist gains could also erode the consensus needed for treaty changes or budget adjustments, fostering a wait-and-see mindset among leaders until post-election governments stabilize. This could derail the timelines for implementation by mid-2027, underscoring the tension between national sovereignty and EU ambitions.